

Executive KPI Interpretation & Analysis Guide

1. Dashboard Overview Metrics (Financial & Operational)

KPI Name	Business Definition	If it Increases (↑)	If it Decreases (↓)
Revenue	Total monetary value generated from product sales before deducting any expenses.	↑ Sales success, higher market demand, and strong market share.	↓ Declining sales, potential pricing issues, or increased market competition.
Total Cost	Total expenses incurred for raw materials, manufacturing, and operational processes.	↑ Rising raw material prices, higher production volumes, or manufacturing waste.	↓ Successful cost control measures, or a deliberate drop in production volume.
Number of Products (Current: 13)	The variety of active Stock Keeping Units (SKUs) available in the product portfolio.	↑ Portfolio expansion and successful product diversification.	↓ Product consolidation or discontinuation of underperforming SKUs.
Number of Suppliers (Current: 8)	The active network of vendors supplying raw materials to the company.	↑ Enhanced supply chain security and better negotiation leverage.	↓ High dependency risk (supply chain vulnerability if a vendor fails).
Number of Clients (Current: 24)	The active B2B customer base purchasing the company's finished goods.	↑ Market expansion and reduced dependency on single large accounts.	↓ Customer churn or high reliance on a few "whale" clients.

2. Inventory Analysis Metrics (Working Capital & Supply Chain)

KPI Name	Business Definition	If it Increases (↑)	If it Decreases (↓)
Current Total Stock	The exact volume of finished goods available in the warehouse at the most recent inventory check.	↑ Stock accumulation (potential overstock) or readiness for peak sales seasons.	↓ Rapid sales clearing the warehouse, or factory supply shortages.
Avg Daily Inventory	The baseline average of goods sitting idle in the warehouse on any given active day.	↑ Congested warehouses leading to high holding costs and frozen capital.	↓ Lean inventory management; goods are moving out rapidly post-production.
Inventory Turnover	Velocity Indicator: How many times the company sells and replaces its entire inventory per year.	↑ Excellent: High sales velocity and superior capital management efficiency.	↓ Critical Risk: Stagnant goods (Overstock) trapping vital company cash flow.
Days of Inventory on Hand (DOH)	Runway Indicator: How many days the current stock will last if sales continue at the current rate without new production.	↑ Warning: Slow-moving goods consuming warehouse space (Obsolescence risk).	↓ Double-Edged: Lean operations, OR imminent risk of stockouts stopping sales.

Strategic Talking Points for the Committee

- **Connecting Cost with Overstock:** "When Days of Inventory on Hand (DOH) inflates to levels like 92 days, it directly explains spikes in our *Total Cost*. Holding costs, insurance, and warehouse space dedicated to zero-velocity dead stock (like **EX_POLY**) silently drain operational profits."
- **Connecting Revenue with Turnover:** "By increasing the Inventory Turnover for fast-moving items (like **EX_FLAT**), we directly accelerate the cash conversion cycle. Faster stock rotation means cash returns to the business quicker, driving the overall *Revenue* up."